

Equity and redistribution of income and wealth Equity, equality and efficiency

Equity occurs if a society distributes its resources fairly among its people. The distribution could be of income, government benefits and even wealth. Equity has two aspects:

- Horizontal equity where consumers and others with the same circumstances should pay the same level of taxation
- Vertical equity where taxes should be fairly apportioned between the rich and poor in a society.

Equality is not the same as equity, Equality is about treating everyone in the same way. Equality aims to promote fairness, but it can only work if everyone starts from the same position and needs the same help. It is the ideal of everyone being truly equal.

It is where scarce resources are being used to produce maximum output. Economic efficiency requires firms to produce at the lowest possible cost; it also applies where firms produce goods and services that are most wanted by consumers. The problem is that markets fail to produce the best allocation of resources and require government intervention to correct for this failure.

Government failure occurs when policies used to promote efficiency do so, but also increase inequality. This situation can be found in markets where there are negative production and consumption externalities. A road pricing charge, for example, will reduce congestion but it increases inequality due to its regressive nature - a person on a low wage driving to work pays the same level of charge as a well-paid executive.

Absolute and relative poverty

Poverty exists when families do not have enough money or access to resources to be able to experience a reasonable standard of living. This includes not only having food and housing, but also access to decent education, healthcare, water supply and sanitation. Although global poverty is falling, it is still the case that people born in poverty are much more likely to remain poor. A few may escape the so-called 'cycle of poverty' but these are the exception.

There are various definitions of poverty, economic and more wide ranging. Extreme poverty is defined by the World Bank as 'the international poverty line of living on less than \$1.90 per day'. Figure 39.2 shows the estimated global population living in extreme poverty forecast to 2030. This date is particularly significant as it is the target date for the UN's Sustainable Development Goal (SDG 1) for eradicating extreme poverty.

Figure 39.2 shows that the number of people living in extreme poverty has fallen since 1990 and is projected to fall further by 2030. The main reason for the fall is projected economic growth, particularly in China, India, Indonesia, Ethiopia and Ghana. These are all economies where continued economic growth has seen extreme poverty halved over the past twenty years. The biggest problem is that the world's poorest are now concentrated in Sub-Saharan Africa. This concentration is forecast to persist, although substantial reductions are forecast for Kenya and Côte d'Ivoire.

There is no such thing as luck, believe in hard work

Absolute poverty is defined by economists as being when household income is below a certain level that makes it impossible for a person or family to meet the basic needs of life such as food, housing, water, healthcare and education. In this state of poverty, those affected are unable to benefit from economic growth and rising living standards. They are trapped in a cycle of poverty. It is not possible to put a given global value on the income level of absolute poverty since this varies from one country to another.

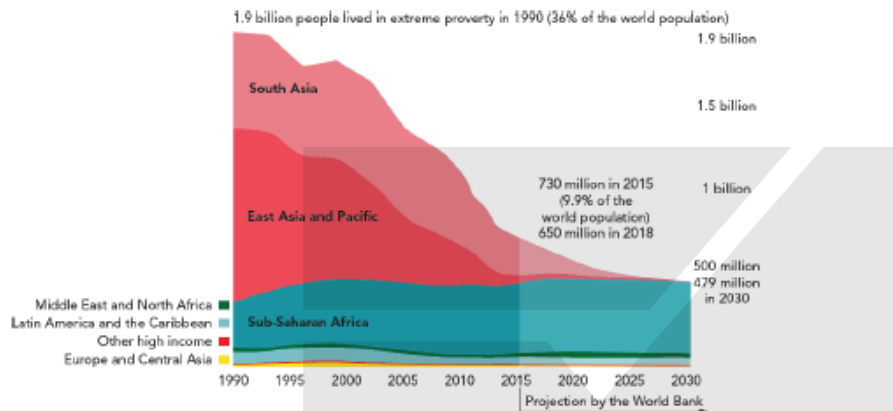


Figure 39.2: The estimated global population living in extreme poverty forecast to 2030

Relative poverty, as the term indicates, compares the income of a household with the average income for their country. Typically, where this is 50% or less than the average, the household is said to be in relative poverty. Households have money, but only sufficient to meet basic needs. Their members are not able to enjoy the same standard and quality of life as the rest of the population with incomes above 50% of the average. Access to consumer goods, housing and education is limited by a low income. For a household in this type of poverty, change can come about as family members get jobs or better paid jobs, sometimes due to better education. Economic growth is an important factor that can determine whether a household moves out of relative poverty.

Policies towards equity and equality

The poverty trap, benefits and universal basic income

One way to redistribute income is to pay benefits out of government spending to those on low incomes. Money raised through the tax system is then paid to low-income persons and families in order to increase their disposable income. There are three types of such benefits:

- **Means-tested benefits:** These benefits are only paid to those on low incomes. They are targeted directly at those who are seen to be most in need. An example would be income support or unemployment benefit. What is available varies between countries. In general, more is likely to be provided in high-income countries since there is a more robust tax base to draw upon. However, such benefits are not always claimed by those for whom they are designed. They can also create a disincentive to work. This is called the poverty trap and is

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where a person or family is financially worse off when one or more of members are working rather than living off the range of benefits available to them. Such a situation can occur where there is a low income tax threshold paired with generous means-tested benefits up to a certain level of income.

- **Universal benefits:** These are paid out to everyone in certain categories, often age-related, regardless of their income or wealth. Examples include universal state pensions and child benefit. Such benefits overcome the two problems associated with means-tested benefits. However, they imply paying out money to many who do not need it and therefore tend to be expensive to operate.
- **Universal basic income:** This is a relatively new form of benefit. It is an unconditional cash payment made at regular intervals by the government, regardless of earnings or employment status. There are just a few examples of where this has been tried and include Brazil, Canada, Finland, Kenya, Namibia and the USA. The principal advantage of this approach is that it reduces poverty and income inequality while encouraging those receiving the benefit to enter or stay in employment. It also recognizes the roles of individuals managing families and caring for older people. Critics argue that like transfer payments, universal payments are given to those who do not need them, so depriving others who might need additional assistance

Negative income tax

Negative income tax is a way of dealing with the weaknesses of means-tested and universal benefits. Under such a tax regime, there would be a flat rate of taxation (say 25%). Every person or family would receive a fixed annual benefit (say \$4000). If the tax paid on earnings is less than this annual benefit, then the person will receive the difference from the government. This is why it is called a negative income tax. Where the difference is positive, such as with high-income earners, then this is the amount of tax that has to be paid to the government. Economists have long argued for this approach; as yet there are no particular examples due to perceived practical problems of implementation.

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